Syllabus Edition
First teaching 2025
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Business Objectives

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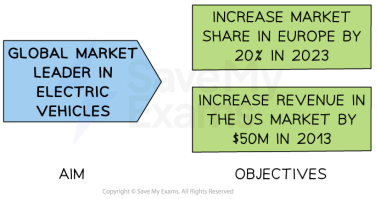
The importance of business objectives

- **Business aims** are the long-term aspirations of an organisation
- **Business objectives** are specific, measurable, achievable, relevant, and time-bound targets **(SMART targets)** that must be achieved to realise business aims



Objectives are derived from a business's overall aim

- Every successful business needs to have **clear aims and objectives** that guide its operations and **focus the efforts of all employees** towards the same goal
  - Aims and objectives are critical for businesses to **function effectively** and **achieve long-term success**
  - A **business aim** may be to become the **market leader** in a particular industry
  - The corresponding **objectives** may include **increasing sales by 25%** over the next three years, improving customer satisfaction by 15%, and expanding into new geographic markets

Benefits of setting business objectives

- **They give the business a clear sense of direction**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- **They make it easier to measure success**
  - By setting a specific target (such as increasing sales by 10% in a year), a business can track its progress and see whether it is performing well or needs to make changes
- **They help motivate employees**
  - When staff understand what the business is trying to achieve and can see how their work contributes to that goal, they are more likely to feel engaged and work hard to reach it

Types of business objectives

- Objectives provide a focus or **target** for managers and employees
  - Managers can determine how well the business or particular departments have performed over a period of time
  - Employees may be rewarded for their progress towards meeting objectives
- As businesses grow, their objectives often **change over time**
  - For example, they may shift from survival and **break-even** to growth and **profit maximisation**

Common business objectives

Objective	Explanation

Survival	• A common objective in the **early stages of trading**
	  ○ 60% of UK start-ups fail within their first three years
	  ○ Common reasons for failure include poor **cashflow**, low sales and unexpected costs

Growth	• Businesses often achieve growth by **increasing sales**
	  ○ Persuading customers to **buy products more often or in greater quantities** to increase sales revenue and expand the business
	  ○ Appealing to new **market segments**

Profit	• Ensuring **sales revenue** received is greater than business costs ○ This allows for **financial security** as a business and its owners can pay all the **overheads** and have some in reserve to pay for unexpected emergencies

	○ **Costa** had an 8% market share of 'out-of-home' coffee consumption in the UK in 2020 • If market share is increasing, it means that the firm is **competing effectively** with rivals

Examiner Tips and Tricks

Avoid suggesting that 'making as much profit as possible' is always the most likely objective of a business

- It often depends on **economic conditions** and the original **aims of the owners**
- Many entrepreneurs are more focused on **helping groups in society** than making money
- As markets can be very dynamic, objectives are very likely to **change over time**

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